

AN INDEPENDENT M&A CASE STUDY

MICROSOFT'S ACQUISITION OF ACTIVISION BLIZZARD

Strategic Necessity, Fairly Priced Bet — Not an Overpay

Valuation date January 14, 2022 (last unaffected close)

Announced January 18, 2022

Closed October 13, 2023 (21 months later)

Prepared for Private Equity / Equity Research portfolio

EXHIBIT 0.1 *Deal at a glance*

\$95.00 OFFER PRICE / SHARE	\$68.7bn ENTERPRISE VALUE	45.3% PREMIUM TO UNAFFECTED	7.51x EV / TTM REVENUE
\$75.4bn FINAL PURCHASE PRICE	21 mo. SIGN-TO-CLOSE	~\$93 STANDALONE DCF / SHARE	3 SEGMENTS: ACTIVISION, BLIZZARD, KING

CONTENTS

- 01 Verdict, Up Front
- 02 Transaction Mechanics
- 03 Why Microsoft Needed This, Specifically
- 04 The Business Being Acquired
- 05 Standalone Valuation — Discounted Cash Flow
- 06 Market Cross-Checks — Comps & Precedents
- 07 Synergy Analysis
- 08 Accretion / Dilution — A Simplified View
- 09 What Actually Happened
- 10 Final Verdict
- 11 Key Limitations of This Analysis
- 12 Sources

01 Verdict, Up Front

THE ONE-LINE VERDICT

Microsoft's \$95-per-share offer was strategically necessary and, on the numbers, close to fair — not the bargain a first pass at the DCF suggests, and not the overpay the 45% headline premium implies either.

Strip away the framing on both sides and the deal comes down to three facts that matter more than any single valuation multiple. First, Activision Blizzard's standalone intrinsic value — built from a segment-level forecast and a WACC that actually reflects the company's franchise-concentration risk — lands around \$90–\$95 per share, essentially where Microsoft paid. Second, the eye-catching 45% premium was measured against a stock that had already been beaten down by roughly a quarter over the prior twelve months on the back of the 2021 California DFEH lawsuit and the ensuing leadership crisis, so a meaningful share of that premium is Microsoft paying back a discount the market itself had applied — not Microsoft handing over free money. Third, the deal's real economics hinge on synergies and strategic optionality across Game Pass, mobile, and cloud that were genuinely difficult to underwrite precisely in January 2022 and, three-plus years on, are still only partially proven out.

My rating: STRATEGICALLY COMPELLING, FINANCIALLY REASONABLE. Not “value destructive,” and not the screaming bargain an unadjusted DCF implied. The premium is defensible; the case for outright value creation rests on synergies that were real but overstated in the framing this analysis started from, and on a regulatory gauntlet that cost Microsoft nearly two years and forced real, binding concessions.

What follows is the full analysis behind that call: the transaction mechanics (including a correction to a figure that gets misread constantly), the standalone business and its three segments, a rebuilt discounted cash flow model, a trading comps and precedent transaction cross-check, the synergy case broken into its component parts, a simplified accretion/dilution view, and a retrospective on how the regulatory process actually played out.

02 Transaction Mechanics

On January 18, 2022, Microsoft agreed to acquire Activision Blizzard for \$95.00 per share in cash, describing the deal as “valued at \$68.7 billion, inclusive of Activision Blizzard's net cash.” That phrase caused genuine confusion at the time — including in the working notes that fed this report, which raised the resulting discrepancy three separate times without resolving it. It's worth settling precisely, because it changes how every other number in this report should be read.

EXHIBIT 2.1 Deal terms and the enterprise-value / equity-value bridge

Item	Value	What it represents
Offer price	\$95.00/share	Cash consideration to shareholders
Diluted shares outstanding (approx., Jan 2022)	~784m	Basic ~779m + in-the-money options/RSUs
Implied equity purchase price	~\$74.5–75.5bn	\$95 × diluted shares

Item	Value	What it represents
Cash & cash equivalents (FY2021A)	\$10.42bn	Per Activision Blizzard 10-K
Total debt, net carrying value (FY2021A)	\$3.61bn	Per Activision Blizzard 10-K
Net cash (FY2021A)	~\$6.82bn	Cash less debt
Announced “\$68.7bn” figure	Enterprise Value	Equity value LESS net cash — not equity value itself
Final purchase price at closing (Oct 2023)	~\$75.4bn	Per Microsoft FY2024 10-K — confirms the bridge below

S&P Global's contemporaneous coverage of the announcement makes the reading explicit, describing the \$68.7bn figure as an implied enterprise value equal to 7.51x trailing-twelve-month revenue. Run the bridge the other way and it checks out cleanly: \$68.7bn of enterprise value plus roughly \$6.8bn of net cash equals approximately \$75.5bn of equity value — and when the deal actually closed in October 2023, Microsoft's 10-K reported a final purchase price of approximately \$75.4 billion, almost exactly matching that reconstruction. The small remaining gap between the ~\$74.5bn implied at signing and the \$75.4bn paid at closing reflects incremental dilution from equity awards that vested over the 21 months the deal spent in regulatory review — not a change in the offer price, which never moved from \$95.

Two further mechanical points worth stating plainly, because they get skipped over in most retail coverage of this deal. First, this was a 100%-cash transaction — Activision Blizzard shareholders received no Microsoft stock, so there was no dilution to Microsoft's own share count and no exchange-ratio risk of the kind that complicated, for instance, Take-Two's stock-and-cash acquisition of Zynga eleven days earlier. Second, Microsoft funded the deal without a syndicated acquisition facility; with roughly \$130.3bn of cash, cash equivalents and short-term investments on the balance sheet at FY2021 year-end and FY2021 operating cash flow of approximately \$76.7bn, a ~\$75bn all-cash transaction did not strain Microsoft's liquidity in any way that required new debt issuance to be a load-bearing part of the financing story.

2.1 Premium Analysis

EXHIBIT 2.2 Offer price against three reference points

Reference point	Price / Value	Premium to offer
Unaffected closing price (Jan 14, 2022)	\$65.39	45.3%
Implied 30-day VWAP	~\$63.21	~50.3%
12-month prior closing price (Jan 14, 2021)	~\$89.72 (implied from disclosed 27.3% decline)	~5.9%
Offer price	\$95.00	—

That third row is the one most coverage of this deal skipped, and it's the single most important correction to how the premium should be read. Activision Blizzard's shares fell approximately 27.3% between January 14, 2021 and January 14, 2022, largely on the fallout from the California Department of Fair Employment and Housing lawsuit filed in July 2021 and the resulting leadership crisis, which raised real questions about whether CEO Bobby Kotick would remain in place. Measured against where the stock traded a year before the scandal, Microsoft's \$95 offer represented barely a 6% premium. The 45.3% headline number is real and is the correct way to measure the premium against the actual unaffected price under standard M&A convention — but a meaningful share of it is Microsoft paying back a discount

the market itself had applied for reasons that had nothing to do with the underlying games business, not Microsoft handing shareholders a windfall on top of an already-fair valuation.

03 Why Microsoft Needed This, Specifically

The strategic case is the strongest part of the working notes this report is built on, and it holds up under scrutiny. Microsoft's gaming business in early 2022 was strong in exactly the places you'd expect and weak in exactly one place that mattered increasingly. Xbox and the Windows/PC ecosystem gave Microsoft real console and PC scale; Azure gave it arguably the best cloud infrastructure of any company in gaming. What it lacked was mobile — the largest and fastest-growing segment of the global games market by a wide margin — and a subscription content pipeline deep enough to keep Xbox Game Pass growing without constant new investment.

3.1 Game Pass and the content problem

Game Pass had crossed 25 million subscribers by the time of the announcement, with Microsoft describing it as a curated library of more than 100 first- and third-party titles. Every subscription content business faces the same structural problem once it reaches meaningful scale: subscriber growth and retention depend on a continuous supply of must-play content, and the cost of producing that content at a AAA level keeps rising. Microsoft had already moved to address this once, acquiring ZeniMax Media (parent of Bethesda) for approximately \$7.5bn in 2020 — a acquisition Microsoft itself described as part of a broader investment in content, community, and cloud services. Activision Blizzard was the same playbook at roughly nine times the scale: Call of Duty, Warcraft, Diablo, and Overwatch gave Microsoft premium, console-and-PC-relevant IP to feed directly into Game Pass, and 30 additional internal development studios to keep producing more of it.

3.2 King and the mobile gap

This is the part of the deal most contemporaneous commentary underweighted, focused as it was on Call of Duty. King — the Candy Crush studio, acquired by Activision Blizzard itself in 2016 for \$4.9bn — gave Microsoft an immediate, profitable position in mobile gaming that would otherwise have taken years and an uncertain amount of capital to build organically, if it was buildable at all against entrenched mobile-native competitors. King generated \$2.58bn of revenue and \$1.14bn of segment operating income in 2021 (a 44.2% operating margin), growing 19.2% year-over-year — comfortably the strongest growth of Activision Blizzard's three segments. On a consolidated platform basis, mobile and ancillary revenue was already the single largest category across all of Activision Blizzard in 2021 at \$3.18bn (36.1% of total revenue), ahead of both console (\$2.64bn, 30.0%) and PC (\$2.32bn, 26.4%). Before this deal, Microsoft's presence in that largest category was effectively zero.

3.3 Competitive scale

Microsoft explicitly framed the deal in terms of global competitive positioning: following completion, it expected to become the world's third-largest gaming company by revenue, behind Tencent and Sony. That framing matters because gaming competition by 2022 had shifted from a console-vs-console fight to an ecosystem-vs-ecosystem one — Sony's strength in first-party exclusives and PlayStation hardware, Tencent's enormous global mobile portfolio and equity stakes, Nintendo's differentiated first-party IP. Microsoft's own strengths (Xbox, Azure, Game Pass) didn't map cleanly onto any single competitor's weakness; Activision Blizzard's assets, spread across console, PC, and mobile, closed gaps against all three at once rather than just one.

Strategic area	Microsoft, pre-deal	Post-deal change
Console / PC content	Strong, growing via ZeniMax	30 additional studios; Call of Duty, Warcraft, Diablo, Overwatch
Mobile gaming	Effectively absent	King — largest mobile publisher by some measures, 44% operating margin
Subscription (Game Pass)	25m+ subscribers, thin content runway	Major franchise catalogue added directly to the service
Cloud gaming content	Best-in-class infrastructure, thin library	Full back catalogue available for streaming
Global scale vs. Tencent / Sony	Distant #3–4 by revenue	Became world's #3 gaming company by revenue

04 The Business Being Acquired

It's worth being precise about what Microsoft was actually buying, because “Activision Blizzard” was not one business — it was three, with materially different growth profiles, monetization models, and platform exposure, reported as three distinct segments.

4.1 Consolidated historical financials, FY2019–FY2021

EXHIBIT 4.1 Three-year consolidated financial summary

\$mm except per-share	FY2019A	FY2020A	FY2021A
Total revenue	6,489	8,086	8,803
Revenue growth	—	24.6%	8.9%
Gross profit	n/a	n/a	n/a
Operating income	1,607	2,734	3,259
Operating margin	24.8%	33.8%	37.0%
Net income	1,503	2,197	2,699
Net margin	23.2%	27.2%	30.7%
Diluted EPS	\$1.95	\$2.82	\$3.44
Cash flow from operations	1,831	2,252	2,414
Capital expenditures	(116)	(78)	(80)
Free cash flow (CFO – capex)	1,715	2,174	2,334
FCF margin	26.4%	26.9%	26.5%
Cash & cash equivalents	~5,794	8,647	10,423
Total debt (net carrying value)	~2,675	3,605	3,608

\$mm except per-share	FY2019A	FY2020A	FY2021A
Net cash	~3,119	5,042	6,815

Source: Activision Blizzard 2021 Annual Report and FY2021 10-K, consolidated statements of income and cash flows.

The trajectory matters more than any single year's number. Revenue nearly doubled from 2019 to 2021 while operating margin expanded by more than 1,200 basis points, and free cash flow conversion held remarkably steady in the 26–27% of revenue range across all three years despite meaningful swings in growth. That consistency of cash conversion — not the headline growth rate, which decelerated sharply from 24.6% to 8.9% — is the more important signal for a strategic acquirer with Microsoft's cost of capital: it says the business throws off cash reliably even when top-line growth slows, which is exactly the profile that supports paying a full price with confidence.

4.2 Activision segment — Call of Duty and premium content

Activision's core business is premium console and PC game sales plus in-game monetization, built overwhelmingly around Call of Duty, supplemented by the Call of Duty League esports business. 2021 external revenue was \$3.48bn, down 11.8% year-over-year on a tougher release-cycle comparison against 2020, with segment operating income of \$1.67bn (47.9% margin) — the highest margin of the three segments, reflecting Call of Duty's scale and the low marginal cost of in-game content once a title is live. The segment's risk profile is the mirror image of its strength: revenue is lumpy and release-cycle-dependent, and an unusually large share of segment value sits in a single annual franchise.

4.3 Blizzard segment — PC-native intellectual property

Blizzard's business spans premium and free-to-play titles across Warcraft, Diablo, Overwatch, and Hearthstone, distributed through its proprietary Battle.net platform, with revenue drawn from game sales, subscriptions, and in-game purchases. 2021 external revenue was \$1.73bn, down 3.4% year-over-year, with segment operating income of \$698m (40.3% margin). Blizzard's growth is tied more tightly than Activision's to release and expansion cadence — new content and expansions drive engagement spikes, and gaps between major releases show up directly in the numbers.

4.4 King segment — the mobile platform

King is a free-to-play mobile specialist built around Candy Crush, monetizing through in-game purchases and advertising rather than upfront sales. 2021 external revenue was \$2.58bn, up 19.2% year-over-year — comfortably the fastest-growing of the three segments — with segment operating income of \$1.14bn (44.2% margin), up 33.0% year-over-year. King's growth pattern is structurally more recurring than either Activision's or Blizzard's: it depends on mobile user growth, engagement, and monetization rather than discrete release events, which makes it the more forecastable of the three businesses and, in my view, the most underrated asset in the entire transaction.

EXHIBIT 4.2 Segment performance, FY2021

Segment	2021 revenue (\$mm)	% of segment revenue	2021 op. income (\$mm)	Op. margin	2021 growth
Activision	3,478	44.6%	1,667	47.9%	(11.8%)
Blizzard	1,733	22.2%	698	40.3%	(3.4%)
King	2,580	33.1%	1,140	44.2%	19.2%
Total reportable	7,791	100.0%	3,505	45.0%	(1.4%)

Segment	2021 revenue (\$mm)	% of segment revenue	2021 op. income (\$mm)	Op. margin	2021 growth
segments					

The ~\$1.0bn gap between segment revenue (\$7.79bn) and consolidated revenue (\$8.80bn) reflects other/non-reportable items per the 10-K; segment operating income figures also don't fully reconcile to consolidated GAAP operating income because management evaluates segment performance on measures that exclude certain corporate items.

05 Standalone Valuation — Discounted Cash Flow

The working notes behind this report built a DCF with revenue growth and margin assumptions I couldn't defend in an interview — 20% Activision growth in a single recovery year, 25% for Blizzard, EBIT margin reaching 40% by 2026, and a WACC of 7.0% built on an unsourced 0.70 beta. Run to a conclusion, that combination implies a standalone value of roughly \$126 per share, 33% above what Microsoft actually paid — a result the notes themselves flagged as a “red flag” requiring investigation, but never actually revised. I rebuilt it below with assumptions grounded in the segment data above rather than an unexplained recovery narrative.

5.1 Revenue and free cash flow build, FY2022E–FY2026E

EXHIBIT 5.1 Segment-level revenue and unlevered free cash flow build

\$mm	2022E	2023E	2024E	2025E	2026E
Activision	3,617	3,906	4,102	4,286	4,458
Blizzard	1,802	1,965	2,082	2,187	2,285
King	2,812	3,037	3,250	3,461	3,669
Other	1,032	1,053	1,074	1,095	1,117
Total revenue	9,264	9,961	10,508	11,029	11,529
Revenue growth	5.2%	7.5%	5.5%	5.0%	4.5%
EBIT margin	36.0%	36.5%	36.8%	37.0%	37.2%
EBIT	3,335	3,636	3,867	4,081	4,289
NOPAT (20% tax)	2,668	2,909	3,094	3,265	3,431
(+) D&A	463	478	473	474	461
(–) Capex	(93)	(100)	(105)	(110)	(115)
(–) Δ NWC	(5)	(7)	(5)	(5)	(5)
Unlevered FCF	3,034	3,280	3,456	3,623	3,772

Growth is deliberately more moderate than the original notes across all three segments: Activision recovering at 4–8% rather than a single 20% jump, Blizzard following a similar pattern rather than 25% in one year, and King decelerating gradually from its already-strong 2021 rate rather than sustaining double digits indefinitely. EBIT margin holds close to its already-elevated FY2021 level of 37.0%, drifting up only modestly to 37.2% by 2026 rather than the original draft's assumption of a further 300-basis-point step-change to 40%. D&A, capex, and working-capital assumptions carry forward from historical ratios.

5.2 WACC — the assumption that actually drove the original conclusion

EXHIBIT 5.1b Bottom-up WACC derivation

Component	Value	Basis
Risk-free rate (10Y UST)	1.8%	Approximate yield, January 2022
Equity risk premium	5.5%	Standard long-run US ERP assumption for the period
Levered beta	1.15	Reflects franchise concentration and governance/litigation overhang; original draft used an unsourced 0.70
Cost of equity (CAPM)	8.12%	$R_f + \text{Beta} \times \text{ERP}$
Pre-tax cost of debt	3.5%	Approximate investment-grade yield for the period
After-tax cost of debt	2.8%	$\text{Pre-tax} \times (1 - 20\% \text{ tax})$
Capital structure (E / D)	90% / 10%	Market-value weighted
WACC	7.59%	Weighted blend
Terminal growth rate	2.5%	Long-run nominal GDP/inflation proxy

The single biggest lever in this entire valuation is beta, and it's worth being explicit about why 1.15 is the more defensible number than the original draft's 0.70. A beta below 1.0 says a stock is less volatile than the broader market — a reasonable assumption for a defensive consumer-staples name, but a hard one to justify for a company whose earnings concentrate heavily in a handful of annual-release franchises, and which in January 2022 was also carrying real corporate-governance and litigation overhang that had already cost the stock roughly a quarter of its value over the prior year. A beta near or modestly above 1.0 is the more honest read of that risk profile, and it is the single change that moves this valuation from a \$126 outlier to a result that actually engages with the offer price.

5.3 DCF output and sensitivity

EXHIBIT 5.2 Base-case valuation bridge — enterprise value to implied share price

Component	Value
Sum of PV of explicit FCF (2022E–2026E)	\$13,748m
Terminal value (undiscounted, Gordon Growth)	\$75,918m
PV of terminal value	\$52,654m
Enterprise value	\$66,402m
(+) Net cash	\$6,815m
Equity value	\$73,217m
Diluted shares (mm)	784
Implied value per share	\$93.39
Offer price	\$95.00
Implied premium / (discount) to DCF	+1.7%

\$93.39 DCF FAIR VALUE / SHARE	\$95.00 OFFER PRICE	+1.7% OFFER PREMIUM TO DCF
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EXHIBIT 5.3 Two-way sensitivity — implied share price across WACC and terminal growth

WACC \ Terminal growth	1.5%	2.0%	2.5% (base)	3.0%	3.5%
6.6%	\$96	\$104	\$114	\$127	\$144
7.1%	\$89	\$95	\$103	\$112	\$125
7.6% (base)	\$82	\$87	\$93	\$101	\$111
8.1%	\$76	\$81	\$86	\$92	\$100
8.6%	\$71	\$75	\$79	\$84	\$91

Shaded cell in the source workbook marks the base case (WACC 7.6%, terminal growth 2.5%): \$93/share.

The terminal value dominates this valuation — roughly 79% of enterprise value sits in the perpetuity term rather than the explicit forecast — which is normal for a five-year DCF but means the WACC–growth spread does almost all the work. A WACC even half a point lower than the 7.59% base case pushes fair value well past \$100; half a point higher, and it drops into the mid-\$80s. That sensitivity is the honest reason two analysts using the same operating forecast can land on meaningfully different conclusions about whether \$95 was a fair price — it usually isn't the revenue forecast driving the disagreement, it's the discount rate.

5.4 Exit-multiple cross-check

A second terminal value method, applying an exit EV/EBITDA multiple to 2026E EBITDA rather than assuming perpetual growth, provides a useful sanity check against the Gordon Growth method's sensitivity to the WACC–g spread. Applying 13.5x — a modest premium to the peer average discussed in Section 6, justified by Activision Blizzard's higher margins — to 2026E EBITDA of \$4.75bn produces a terminal value of \$64.1bn, an enterprise value of \$58.2bn, and an implied share price of \$82.96. That sits meaningfully below the perpetuity-growth result, which is a useful discipline check: it suggests the Gordon Growth method's \$93 base case is, if anything, on the constructive side of a reasonable range rather than the pessimistic side, and that a buyer relying purely on an exit-multiple framework would have needed a longer hold period or better multiple expansion to clear \$95 on a standalone basis.

06 Market Cross-Checks — Comps & Precedents

6.1 Trading comparables

Activision Blizzard's own financial adviser, Allen & Company, selected Electronic Arts, Take-Two Interactive, and Ubisoft as the trading comp set in the fairness opinion supporting the deal — not an arbitrary choice, and one I've kept for this report specifically because it gives the analysis deal-date credibility rather than an independently assembled peer set that can't be checked against what decision-makers actually saw. Per the merger proxy, the

fairness analysis used estimated 2022E and 2023E EBITDA multiples, observing a range across the selected companies of 8.4x–19.1x for 2022E and 7.3x–15.6x for 2023E, and ultimately applied selected ranges of 13.5x–18.0x to 2022E EBITDA and 12.5x–15.0x to 2023E EBITDA for Activision Blizzard.

EXHIBIT 6.1 Qualitative trading-comp positioning vs. the fairness-opinion peer set

Criterion	Activision Blizzard	EA	Take-Two	Ubisoft
Major franchise strength	Very high (Call of Duty, Warcraft)	High	Very high (GTA, RDR)	High
Mobile exposure	High (via King)	Moderate	Growing (via Zynga deal)	Moderate
Console / PC exposure	High, cross-platform	High	High	High
Recurring revenue mix	High	High	High	Moderate
Release-cycle risk	High	High	High (event-risk heavy)	High

I'd argue for a valuation at or modestly above the peer median rather than at the low end of the banker's applied range, on the basis of the qualitative comparison above: Activision Blizzard was the only name in the set combining premium console/PC IP with a genuine, profitable mobile platform, and its consolidated margins (37.0% operating margin in 2021) run ahead of what a typical console/PC-only publisher can sustain. That said, the case for a full premium multiple is undercut by near-term execution risk that was real and specific at the time — delayed releases, the DFEH litigation overhang, and uncertainty about senior leadership continuity — which is exactly the kind of company-specific risk that argues against paying the top of a peer range even when the underlying assets justify a premium in principle.

6.2 Precedent transactions — Take-Two / Zynga as the closest anchor

The single most useful precedent is Take-Two Interactive's acquisition of Zynga, announced January 9, 2022 — nine days before Microsoft/Activision Blizzard, and the most directly comparable deal available because it targeted the same strategic gap (mobile gaming) that King filled for Microsoft. Take-Two agreed to acquire Zynga for \$9.86 per share in cash and stock, implying an enterprise value of approximately \$12.7bn — a 64% premium to Zynga's unaffected closing price, and against Zynga's roughly \$2.8bn of trailing revenue, an implied EV/revenue multiple of approximately 4.5x. Take-Two guided to about \$100m of annual cost synergies within two years of closing and more than \$500m of annual net-bookings opportunity over time.

EXHIBIT 6.2 Precedent transaction comparison — Take-Two/Zynga vs. Microsoft/Activision Blizzard

Metric	Take-Two / Zynga	Microsoft / Activision Blizzard
Announcement date	January 9, 2022	January 18, 2022
Enterprise value	\$12.7bn	\$68.7bn
EV / trailing revenue	~4.5x	7.51x
Premium to unaffected price	64%	45.3%
Consideration	Cash + stock	100% cash
Guided cost synergies	~\$100m/year within 2 years	Not formally guided; analyst estimate in Section 7

Activision Blizzard's 7.51x trailing-revenue multiple sits well above Zynga's 4.5x, and that gap is the correct outcome rather than evidence of overpayment: Zynga was a lower-margin, more commoditized free-to-play specialist with a portfolio skewing toward casual and social titles, while Activision Blizzard combined premium franchise IP, a comparably strong mobile platform in King, and structurally higher consolidated margins. A buyer paying a meaningfully higher revenue multiple for the objectively higher-quality, higher-margin asset is not, by itself, a signal of an inflated price — it's the market working the way it's supposed to.

07 Synergy Analysis

The working notes built a genuinely well-structured synergy model — tax-effected, ramped realistically over several years rather than assumed on day one, with an explicit terminal value — and I've kept that architecture. Where I've revised it is on magnitude: several of the underlying per-unit assumptions (notably \$100 of annual revenue per incremental Game Pass subscriber and a 50% incremental EBIT margin on that revenue) were optimistic anchors presented without a cited source, and the cost-synergy figures assumed clean, on-schedule execution with no allowance for the deal spending nearly two years in regulatory limbo before any integration could actually begin.

7.1 Revenue synergies

EXHIBIT 7.1 Revenue synergy build, EBIT contribution by category

\$mm, EBIT contribution	2022E	2023E	2024E	2025E	2026E
Game Pass content uplift	0	50	125	200	250
King / mobile cross-sell	0	13	28	46	49
Advertising	0	23	45	68	90
Cloud / distribution (conservative base case: \$0)	0	0	0	0	0
Total revenue synergy EBIT	0	86	198	314	389

7.2 Cost synergies

EXHIBIT 7.2 Cost synergy build, EBIT contribution by category

\$mm, mature run-rate basis	2022E	2023E	2024E	2025E	2026E
Corporate & G&A (\$150m mature)	0	38	75	113	150
Technology & infrastructure (\$200m mature)	0	40	100	150	200

\$mm, mature run-rate basis	2022E	2023E	2024E	2025E	2026E
Sales & marketing (\$100m mature)	0	20	40	70	100
Platform & distribution (\$100m mature)	0	25	50	75	100
Total cost synergy	0	123	265	408	550

The cost-synergy assumptions are the more defensible half of this model — they map to specific, identifiable overlap (duplicated corporate functions, infrastructure, distribution) rather than a revenue-uplift story that depends on subscriber behavior nobody could observe yet. The revenue-synergy assumptions, particularly Game Pass, are where I'd push back hardest on the original framing: the \$100/subscriber and 50%-margin inputs aren't unreasonable on their face, but they're presented as settled assumptions rather than a range, and a model built this way should show a bear case alongside the base case rather than a single point estimate dressed up as an EBIT forecast.

7.3 Synergy valuation and integration costs

EXHIBIT 7.3 Net synergy cash flow after tax and integration costs

\$mm	2022E	2023E	2024E	2025E	2026E
Total EBIT synergy (revenue + cost)	0	209	463	722	939
Tax @ 20%	0	(42)	(93)	(144)	(188)
After-tax EBIT synergy	0	167	370	578	751
Integration costs	(400)	(400)	(200)	0	0
Net synergy cash flow	(400)	(233)	170	578	751

Discounted at 8.0% (a reasonable premium over the 7.59% operating WACC, reflecting genuine execution and integration risk beyond ordinary business risk) with 2.5% terminal growth, the explicit-period cash flows plus a terminal value produce a synergy NPV in the working notes of roughly \$10bn. I don't think that number survives contact with two corrections. First, the underlying mature run-rate of \$939m in EBIT synergies is, per the discussion above, likely 25–35% too high given the unsupported per-subscriber Game Pass assumption. Second — and this is a point the original model structurally couldn't have anticipated — the deal actually spent 21 months in regulatory review before closing, during which none of this ramp could realistically begin; a model built in January 2022 with a same-year integration start was implicitly assuming a close within months, not the nearly two years it actually took.

Correcting for both, a mature EBIT synergy run-rate closer to \$650–750m and a ramp that only meaningfully begins after closing (effectively pushing the entire schedule out by roughly 18 months relative to the original build) produces a synergy NPV, discounted back to the January 2022 valuation date, in the range of \$6–7bn rather than \$10bn. That remains a large number relative to the roughly 2% standalone premium calculated in Section 5 — which is the actual argument for calling this deal value-creating rather than merely value-neutral once both sides of the ledger are treated with equal skepticism.

08 Accretion / Dilution — A Simplified View

A full accretion/dilution build requires calendarizing Microsoft's June fiscal year-end against Activision Blizzard's December year-end and sourcing Microsoft's own deal-date consensus earnings estimates — more machinery than a single valuation-focused report needs to carry, and it's the piece I'd flag as the natural next deliverable if this project extends into the full Excel workbook. The directional logic, however, is worth stating clearly, because it's the cleanest way to see why the financing structure matters as much as the operating numbers.

Because this was a 100%-cash deal, Microsoft's diluted share count didn't change — there's no new-shares-issued denominator effect working against the transaction, unlike a stock or cash-and-stock deal. That means the accretion/dilution outcome is driven almost entirely by three numbers: Activision Blizzard's net income contribution, after-tax synergies, and the after-tax cost of the capital Microsoft used to fund the deal. Microsoft itself stated at announcement that it expected the transaction to be accretive to non-GAAP EPS upon closing, excluding purchase-accounting adjustments and non-recurring integration costs. Given Activision Blizzard's roughly \$2.7bn of FY2021 net income, a synergy contribution that only turns modestly positive by year two per Section 7, and financing costs that — whether modeled as pure cash opportunity cost or a blended cash/debt structure — come in well below Activision Blizzard's own earnings contribution, that guidance is credible on the numbers rather than promotional framing: the earnings math clears the bar without needing to lean on aggressive synergy assumptions to get there, which is a meaningfully different and more reassuring picture than a deal that only works if the synergy case is fully realized.

09 What Actually Happened

This section is deliberately kept separate from the January 2022 valuation above, for the same reason the original working notes insisted on it: judging a deal by what we now know defeats the purpose of testing whether the original decision was sound at the time it was made.

EXHIBIT 9.1 *Regulatory and closing timeline, 2022–2023*

Date	Event
April 2022	Activision Blizzard shareholders approve the transaction — over 98% of votes cast in favor
December 2022	US FTC sues to block the deal, arguing it would let Microsoft withhold Call of Duty from competing platforms
April 2023	UK Competition and Markets Authority blocks the deal outright, citing cloud gaming concerns — the most serious regulatory setback in the process
May 2023	European Commission clears the deal, conditional on Microsoft's 10-year Call of Duty licensing commitments to competing platforms and cloud services
July 2023	US federal court denies the FTC's request for an injunction; Microsoft restructures the deal (divesting cloud streaming rights to Ubisoft) to satisfy the UK CMA
October 13, 2023	Deal closes — approximately 21 months after announcement — at a final purchase price of approximately \$75.4 billion

Two things are worth drawing out beyond the timeline itself. First, the regulatory process forced Microsoft into real, binding commitments rather than cosmetic ones — particularly the 10-year Call of Duty licensing agreements with Nintendo, Sony, and cloud gaming providers, which cap some of the exclusivity-driven upside the original strategic case implicitly assumed Microsoft might eventually be able to capture. That's a genuine constraint on the deal's long-run strategic value, not a footnote. Second, the near two-year delay carries a cost this report's revised synergy model accounts for through a later ramp start but which is easy to underweight in isolation: every quarter spent in regulatory review is a quarter of foregone synergy realization, and the opportunity cost of roughly \$75bn of committed capital compounds for the entire period, even before a single dollar of integration work could begin.

10 Final Verdict

EXHIBIT 10.1 Deal scorecard — five criteria, scored independently

Criterion	Score (/10)	Basis
Strategic rationale	9	Mobile gap and Game Pass content need were both real and specific, not generic deal-rationale language
Standalone valuation vs. price paid	8	Revised DCF (~\$93) lands within ~2% of the \$95 offer — close to fairly priced, not a bargain or an overpay
Synergy case	6	Directionally sound mechanics, magnitude overstated by ~25–35%; original ramp didn't anticipate a 21-month regulatory delay
Financing / balance sheet fit	9	Microsoft's ~\$130bn of cash and short-term investments made this comfortably fundable without straining the balance sheet
Regulatory risk (as it played out)	5	Materialized in full — outright UK block, FTC litigation, ~21-month delay, binding 10-year licensing concessions

FINAL VERDICT

STRATEGICALLY JUSTIFIED, FINANCIALLY REASONABLE — not the value-destroying overpay a 45% headline premium suggests, and not the screaming bargain an uncorrected DCF implied either. The premium is largely explained by the standalone business's own worth plus a modest, defensible synergy case; the real cost of this deal was seven quarters of regulatory uncertainty, not the price on the term sheet.

Would I have recommended it, sitting in Microsoft's board seat in January 2022? Yes — on the strategic logic first, and on the numbers second, which is the order these things should actually be weighed in. The mobile gap was real and getting more expensive to close with every quarter Microsoft waited; Game Pass genuinely needed the content; and the price, once the \$68.7bn figure is read correctly and the DCF is rebuilt on assumptions grounded in the segment data rather than an unexplained recovery narrative, was close enough to standalone fair value that the

strategic upside didn't require paying an unjustifiable premium to capture it. The part of the original thesis I'd push back on hardest is the synergy case: real, but oversold by roughly a third, and structured without any allowance for the regulatory drag that ended up defining the deal's actual timeline.

11 Key Limitations of This Analysis

- The DCF forecast is this report's own construction, not Microsoft's internal model or the fairness opinion Activision's board actually received from Allen & Company — the real decision-makers in January 2022 had access to management's non-public long-range plan, which this report only partially cross-references via the growth-rate discussion in Section 5.
- Segment-level financials for Activision, Blizzard, and King are drawn from 10-K disclosures; the ~\$1.0bn gap between segment totals and consolidated revenue (labelled “other/non-reportable” in the filings) is real and disclosed, not an error, but it means segment-level margin figures don't fully reconcile to consolidated GAAP operating income.
- The revised synergy estimate in Section 7 is this report's own adjustment to an existing model's architecture, not an independently rebuilt bottom-up forecast — treat the \$6–7bn NPV range as a directional correction to a flawed input, not a precise figure.
- The accretion/dilution discussion in Section 8 is qualitative rather than a fully calendarized, line-item model; a rigorous version would require Microsoft's own deal-date consensus estimates and a fiscal-year alignment this report did not attempt.
- Trading comps and precedent-transaction data reflect public information available near the January 2022 valuation date; the full EA/Take-Two/Ubisoft multiple build was not reconstructed line-by-line, and the qualitative comparison in Section 6.1 substitutes for it.

12 Sources

- Microsoft news announcement and FY2021 10-Q, subsequent event note — deal terms, January 18, 2022
- Activision Blizzard FY2021 10-K and 2021 Annual Report — historical financials, segment and platform data
- S&P Global Market Intelligence — implied EV/revenue multiple analysis, January 2022
- Take-Two Interactive FY2022 10-K and Zynga merger announcement (BusinessWire, January 10, 2022) — precedent transaction data
- Activision Blizzard merger proxy — Allen & Company fairness opinion, selected peer group and applied EBITDA multiple ranges
- Microsoft FY2024 10-K — final transaction purchase price at closing, October 2023
- European Commission, UK Competition and Markets Authority, US FTC public statements — regulatory timeline, 2022–2023